

Post-Industrial Localism

A Polycentric Republic: Decentralized Capability and Strategic State Capacity

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Abstract

Post-Industrial Localism is a political framework for technologically advanced democracies seeking responsiveness and legitimacy at small scale without surrendering the capacity of a continental state to act. It rests on a single organizing distinction: **the authority to act should be dispersed; the authority to block should be concentrated and rationed.**

Contemporary American governance fails not because the federal government is too large — federal civilian employment has been roughly flat for six decades while the population nearly doubled — but because decision-making has been fragmented across proliferating veto points, converting the ordinary business of building and adapting into litigation. Post-Industrial Localism proposes a polycentric architecture in the tradition of Elinor and Vincent Ostrom: overlapping centers of decision-making with autonomy over execution, an explicit protocol assigning functions to levels, a nationally financed floor of rights and resources beneath locally delivered services, a federated civil society modeled on the cross-class membership associations that once structured American public life, an open producer economy built on portable credentials rather than jurisdictional monopolies, and a federal government whose strategic capacity is built through competent exercise rather than preserved through disuse.

Freedom is understood in the republican sense as non-domination, which supplies the framework's central discipline: domination is resisted whether its source is a distant bureaucracy, a concentrated market, or a local majority. The framework is stated as a set of testable propositions with named failure conditions, and is supported by comparative evidence from Denmark, Switzerland, Germany, Canada, Kerala, and Brazil, and by American cases — General Revenue Sharing, the Community Action Program, and the TANF block grant — that show what happens when devolution is attempted with and without floors.

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1. Introduction: Getting the Diagnosis Right

Every political framework is a wager on a diagnosis. If the diagnosis is wrong, the prescription compounds the disease.

The intuitive diagnosis of American governance is that the federal government has grown too large and now smothers the country in administration. It is worth stating plainly that this diagnosis does not survive contact with the data. The federal civilian workforce numbered roughly two million in the early 1960s. It numbers roughly two million today. Over the same period the American population grew from about 180 million to about 340 million, and federal spending grew by multiples. Measured against population, the federal civil service is a fraction of its mid-century size. Whatever ails American governance, it is not a proliferation of federal administrators.

The better-supported diagnosis is **fragmentation**. Over the past half-century, American public decision-making has accumulated veto points at an extraordinary rate: environmental review that functions as litigation exposure rather than analysis, local land-use authority that permits a few hundred residents to block housing for thousands, procedural requirements layered to legitimate state action that now prevent it, and a general substitution of adversarial legal process for administrative judgment. Francis Fukuyama named the resulting condition *vetocracy*. Robert Kagan traced its legal architecture as *adversarial legalism*. Nicholas Bagley diagnosed the underlying ideology as a *procedure fetish*: proceduralism adopted to make government legitimate has instead made it inert. Marc Dunkelman's *Why Nothing Works* (2025) and Ezra Klein and Derek Thompson's *Abundance* (2025) document the consequences across housing, energy, and infrastructure.

This diagnosis has an uncomfortable implication for any localist framework, and it should be faced immediately rather than finessed. **Many of the veto points that paralyze American governance are local.** A theory that simply devolves more authority downward does not cure vetocracy. It feeds it.

Post-Industrial Localism therefore begins from a distinction that the naive localist tradition does not draw:

The authority to act — to initiate, deliver, adapt, and experiment — should be **dispersed** as widely as competence allows.

The authority to block — to veto, delay, condition, or litigate — should be **concentrated, rationed, and time-bound**.

Nearly everything else in this framework follows from taking that distinction seriously. It permits genuine and radical decentralization of capability while refusing the paralysis that has been mistaken for local democracy. It explains why a town should control how its neighborhoods look but not whether its region houses its workers. And it dissolves the apparent paradox in the framework's name: one can want both a vigorous local republic and a national government that can build a rail line.

A note on what changed. Version 1.0 of this paper argued that federal capacity is a reservoir depleted by routine administration and preserved by localism, and proposed a Bitcoin monetary standard. Both claims have been withdrawn. The first inverts the relationship between state capacity and use; the second contradicts the framework's own commitment to crisis-response capability. Sections 8.1 and 9.2 record these revisions explicitly. A framework that cannot say what it got wrong is not a theory.

2. Philosophical Foundations

2.1 The lineage

Post-Industrial Localism draws on classical republicanism, the subsidiarity tradition, American federalism, and the Bloomington school of institutional analysis.

Aristotle supplies the anthropological premise: humans are by nature political animals, realizing themselves in association rather than isolation (*Politics* I.2, 1253a). The claim is not sentimental. It is a claim that participation is constitutive of a good life, which means a governance architecture that leaves citizens nothing to do has failed even when it delivers services efficiently.

Subsidiarity arrives through Catholic social teaching, receiving its canonical statement in *Quadragesimo Anno* (1931, §79): it is an injustice to assign to a larger and higher association what lesser and subordinate organizations can do. Note the shape of the principle. It is not a preference for smallness. It is a *burden of proof* — a presumption that must be

rebutted by a demonstration of necessity. Version 1.0 treated subsidiarity as a slogan. Section 5 turns it into a procedure.

Tocqueville supplies the sociological observation that American democracy ran on voluntary association, and — equally important, and usually omitted by those who cite him — the warning that democratic societies generate their own characteristic tyrannies: the pressure of majority opinion and a suffocating conformity that a distant despot could never achieve. Both halves belong in the framework.

Hayek supplies the epistemic argument, though not the one usually attributed to him in this context. “The Use of Knowledge in Society” (1945) makes the case that the knowledge relevant to most decisions is dispersed, particular, tacit, and bound to time and place — unavailable to any central planner not because planners are stupid but because the knowledge does not exist in aggregable form. **James C. Scott’s** *Seeing Like a State* (1998) develops the same insight through the concept of *metis*: practical knowledge that resists codification and is destroyed by the legibility projects of high modernism.

Elinor and Vincent Ostrom supply the load-bearing wall. Their 1961 article with Charles Tiebout introduced *polycentricity*: governance systems with multiple centers of decision-making, each with some autonomy, nested and overlapping across levels and functions. Elinor Ostrom then spent four decades testing it empirically. The metropolitan policing studies of the 1970s found that areas served by a mixture of large and small producers could capture economies of scale where they existed while avoiding diseconomies where they did not, outperforming consolidated systems on efficiency and responsiveness — a result that contradicted the consolidationist orthodoxy of the era. *Governing the Commons* (1990) established design principles for durable self-governance, including the nesting of enterprises in larger systems. The 2009 Nobel Memorial Prize recognized the program.

Ostrom’s finding is more useful to this framework than the naive localist claim, and it is important to state it precisely: **the evidence does not show that small units are better. It shows that mixed systems containing both large and small producers outperform monocentric systems, and that the right assignment is function-specific.** That is a harder, more disciplined claim, and it is the one this paper adopts.

2.2 The normative backbone: freedom as non-domination

Version 1.0 lacked a theory of what makes any of this *good*, and consequently had no way to criticize a community that functions smoothly while oppressing some of its members. This framework adopts the republican conception of liberty developed by **Philip Pettit** (*Republicanism*, 1997): freedom is **non-domination** — not merely the absence of interference, but the absence of subjection to arbitrary power.

This does substantial work.

- It gives a principled reason to **decentralize**: concentrated, distant power that citizens cannot contest is dominating even when benevolent.
- It gives an equally principled reason to **maintain strong federal guarantees**: a local majority that can arbitrarily determine the conditions of a neighbor’s life is also dominating, and historically has been the more common American experience of domination.
- It gives a reason to attend to **private power**: an employer, a landlord, a monopoly platform, or a credentialing cartel can dominate as surely as a state.

Non-domination is what prevents Post-Industrial Localism from collapsing into an apology for whoever happens to hold local power. It is the framework’s immune system.

2.3 Defining “post-industrial”

The term is used in **Daniel Bell’s** sense (*The Coming of Post-Industrial Society*, 1973): an economy organized around services, information, and theoretical knowledge rather than the manufacture of goods. The relevance is specific rather than atmospheric. Industrial-era political economy tied economic participation to physical co-location at the point of production, which made the concentration of people, capital, and administration mutually reinforcing. That constraint has substantially relaxed. A post-industrial economy permits a person to be *economically global and civically local* — a combination unavailable to the industrial worker, and the condition that makes a serious localism newly possible rather than merely nostalgic.

3. Situating the Framework

A new political framework earns attention by showing what it offers that existing ones do not. This section states the neighbors honestly, including where they are stronger.

3.1 The comparison

Framework	Diagnosis	View of federal power	What PIL takes	What PIL rejects
Abundance liberalism (Klein, Thompson, Dunkelman)	Vetocracy; inability to build	Should be strengthened and unblocked	The diagnosis, nearly whole; procedural reform; the housing analysis	Near-silence on associational life, formation, and skill; treats citizens mainly as consumers of outputs
Postliberalism / national conservatism (Deneen)	Liberalism dissolves the communities it depends on	Should be wielded for substantive ends	The seriousness about formation, family, and place; the critique of atomization	Its willingness to use central power to impose a substantive vision — this violates non-domination as directly as anything it opposes
Liberal communitarianism (Sandel, Etzioni, Taylor)	Procedural liberalism cannot sustain civic identity	Ambivalent	The account of the self as constituted by community; the critique of the unencumbered self	Its institutional thinness — decades of diagnosis, few mechanisms
Libertarian federalism / public choice	Government fails through capture and incentive	Should be minimized; exit disciplines	Sophistication about incentives and capture; the exit mechanism	The assumption that exit is available to everyone; the conflation of small government with free citizens
Left municipalism (Bookchin; participatory democracy traditions)	Capital and the nation-state both dominate	Should be superseded by confederated municipalities	Real enthusiasm for participatory institutions; the Porto Alegre and Kerala evidence	The rejection of national state capacity, which leaves no answer for pandemics, depressions, or continental infrastructure
Entrepreneurial-state technocracy (Mazzucato)	Underinvestment; the state has forgotten it can direct	Should set missions and direct	The insistence that capacity is built, not conserved; mission-oriented investment	Treating governance as primarily an allocation problem for experts
Distributism (Belloc, Chesterton)	Ownership too concentrated	Suspicious	The concern with widely distributed productive property	The romantic economics and the guild nostalgia (see §7.1)

3.2 The distinctive claim

Post-Industrial Localism is the only framework in this table that treats **decentralization and state capacity as complements requiring different institutional treatment** rather than as points on a single dial.

Every other position on the list is, in effect, an answer to the question “how much government?” Post-Industrial Localism holds that this is the wrong question, and that asking it is what has produced fifty years of unproductive American argument. The right questions are *which power, at which level, over what* — and, above all, *is this a power to act or a power to block?* A framework organized around that distinction can want a stronger federal government and a more autonomous town at the same time, without incoherence, because those are different powers.

Its closest ally is abundance liberalism, and the relationship is worth stating precisely: **abundance is largely right about the machinery and largely silent about the citizen**. It explains why nothing gets built without explaining what the people who live in the built environment owe each other or how they are formed. Post-Industrial Localism accepts the machinery diagnosis in full and supplies the missing half.

Its sharpest disagreement is with postliberalism, which shares its concern for place, family, and formation but proposes to secure them through central power. Non-domination forbids this. A community whose way of life is imposed from above is not self-governing, and a citizen who cannot dissent is not free, regardless of how good the imposed way of life is.

4. Governance Architecture

4.1 Polycentric, not merely layered

Version 1.0 proposed a clean ladder: Family → Community → State → Federal. This is too simple, and its simplicity conceals the framework's hardest problems.

Real polycentric systems are **overlapping**, not merely stacked. Alongside general-purpose geographic governments they include functional and special-purpose authorities that cut across boundaries: watershed districts, transit authorities, mutual aid compacts, professional bodies, cooperatives, and regional planning organizations. Many important problems have a natural scale corresponding to no political boundary — a river basin, a labor market, a transmission corridor, an epidemic.

The architecture therefore has three dimensions:

Vertical (general-purpose): household → neighborhood/civic association → municipality → county → state → federal.

Horizontal (functional): cross-jurisdictional authorities matched to problem geography, with defined mandates, transparent governance, and sunset review.

Cross-cutting (civil society): federated voluntary associations whose local chapters nest inside state and national structures.

4.2 What each level does

The assignment protocol in Section 5 generates these placements; they are not stipulated in advance.

Household. The primary site of care, formation, and economic resilience. The framework's obligation to households is to make them viable — through income floors, housing supply, time, and the removal of artificial barriers to work — rather than to exhort them to virtue.

Neighborhood and civic association. Voluntary, non-coercive, high-trust. Mutual aid, informal care, socialization, and the practical schooling in self-government Tocqueville identified. This layer holds no power to coerce non-members, and the framework is explicit that it should not be given any.

Municipality and county. Delivery. Schools, policing, permitting, local infrastructure, social services, land-use *form*. This is where the framework locates the greatest expansion of genuine authority, and it is deliberate: nearly all citizen contact with government happens here, and this is where responsiveness is worth most.

State. Standard-setting, equalization, regional infrastructure, professional reciprocity, and — critically — **deadlock-breaking**. States hold the authority to override local blockage where local blockage imposes external costs. This is the level at which the act/block distinction is enforced.

Federal. Rights floors, macroeconomic stabilization, defense, interstate coordination, disaster response, research and frontier investment, interstate commerce. The federal government also holds the residual duty of ensuring that no citizen's basic entitlements vary by the accident of jurisdiction.

4.3 The act/block asymmetry, stated precisely

For any function F at any level L :

- **Powers to act** at L are presumptively broad. The burden falls on those who would restrict them.
- **Powers to block** at L are presumptively narrow. The burden falls on those who would create them.
- Every blocking power carries: **standing limits** (who may invoke it), a **shot clock** (a defined period after which silence is approval), an **appeal path** to the next level up, and **sunset review**.
- No level may exercise a blocking power to externalize costs onto people who have no vote in that jurisdiction. This is the framework's central anti-domination rule in institutional form.

5. The Subsidiarity Assignment Protocol

Subsidiarity is not a decision rule until "competence" is defined. This section defines it.

A function belongs at the **lowest level that passes all four tests**. Where no level passes all four, the function is split: the failing dimension moves up, the passing dimensions stay down. (Financing and delivery are the most common such split, and Section 9 treats it in detail.)

Test 1 — Spillover

Do the effects of this decision fall substantially on people outside the deciding jurisdiction?

If yes, the level is too low. Grounded in Oates's decentralization theorem: decentralized provision dominates when preferences vary and spillovers are absent; centralization dominates as spillovers grow. Switzerland encodes the same idea constitutionally as **fiscal equivalence** — the principle that whoever decides, pays, and whoever pays, decides.

Applied: a town's decision about park hours has negligible spillover — it stays local. A town's decision to prohibit housing construction imposes costs on workers, employers, and taxpayers throughout the region and nation who have no vote there — it fails, and moves up.

Test 2 — Scale

Are there large fixed costs, network effects, or scale economies that a unit this size cannot capture?

If yes, the level is too low — **but only for the production of the service, not necessarily its governance**. Ostrom's policing research established that these can be separated: small units can direct services that larger units produce. A small community may govern its policing while purchasing forensics, dispatch, or training from a regional provider.

Test 3 — Information

Does effective decision-making require dispersed, tacit, local, or rapidly changing knowledge?

If yes, the level is too high. This is Hayek's epistemic argument and Scott's *metis*. It is the strongest general case for decentralization and the one that most often points downward.

Applied: how to reach the specific families in a specific school who are disengaging is local knowledge that cannot be written into a federal manual. Whether the vaccine works is not.

Test 4 — Fiscal capacity

Can this level finance the function without being disciplined by exit?

If no, the *financing* must move up even where delivery stays down. This is Peterson's constraint (*City Limits*, 1981): local governments can pursue developmental and allocational policy but cannot sustain redistributive policy, because mobile capital and mobile residents exit. A locality that taxes to fund generous provision loses its tax base and attracts need — a self-defeating equilibrium no amount of civic virtue overcomes.

This test is why Version 1.0's Pillar I was unworkable. It is now built in.

Non-derogation clauses

Two rules override any assignment the protocol produces.

(a) The rights floor. No level may use devolved authority to deny or condition rights guaranteed at the federal level. Subsidiarity distributes *administrative* authority; it does not distribute the question of who counts as a citizen. Every democratic federation that has forgotten this has produced local tyranny, and American federalism's long service as the constitutional shelter of racial domination is the case study.

(b) The externalization ban. No level may exercise authority in a way that exports costs to those excluded from its decision. This is Test 1 restated as a prohibition rather than a placement rule, and it is what makes the framework enforceable rather than merely advisory.

Burden of proof and review

Assignment is presumptively downward: the party proposing to move a function *up* bears the burden. But the presumption is rebuttable by evidence, not by sentiment — a distinction separating this framework from localisms that treat proximity as self-justifying. All assignments carry periodic review, and misassignment is expected. A polycentric system's advantage is not that it assigns correctly the first time; it is that it produces the variation and feedback that allow correction.

6. Pillar I — Federated Civil Society

6.1 The correction: federation, not proximity

Version 1.0 treated local association as intrinsically valuable. The historical record suggests the operative variable was different, and identifying it correctly transforms the pillar from exhortation into design.

Theda Skocpol's *Diminished Democracy* (2003) documents what actually structured American civic life from the early nineteenth century to the 1960s: **federated mass-membership associations**. The American Legion, the PTA, the Elks, the Masons, the General Federation of Women's Clubs, unions, fraternal orders. Their decisive features were:

- **Local chapters** meeting face to face, providing genuine sociability and mutual aid.
- **Nested inside state and national structures**, so local activity aggregated into national voice.
- **Cross-class membership**, so professionals and laborers deliberated in the same room.
- **Funded by member dues**, so the organization was accountable to members rather than donors.
- **Governed by members**, which meant ordinary citizens practiced parliamentary procedure, budgeting, elections, and compromise.

These organizations moved national policy. Skocpol's central illustration is the G.I. Bill — a broad, cross-class, chapter-based network drafted, lobbied for, and helped implement one of the most inclusive federal social programs ever enacted. Their replacement since the 1960s by professionally staffed advocacy organizations with donors instead of members — funded by foundations and direct mail, governed by paid experts — is what hollowed out American civic life. Robert Putnam documented the decline; Skocpol explained the mechanism.

The design implication is precise: what worked was not localness. Purely local groups do not aggregate; they cannot connect a town to a nation, and they leave their members without any route from a neighborhood grievance to a national policy. What worked was the *nesting* — the local chapter that was simultaneously a rung on a national ladder. Pillar I therefore targets **federation** as its institutional form.

6.2 The state builds civic capacity, it does not consume it

Version 1.0 implied a zero-sum relationship: government action crowds out civic action. The evidence points the other way.

Suzanne Mettler's *Soldiers to Citizens* (2005) found that G.I. Bill beneficiaries became *more* civically engaged — joining more organizations and participating more in politics — as a direct consequence of a federal program. Policy did not substitute for civic life; it manufactured it. Her later work on the “submerged state” (2011) supplies the corollary that matters for design: federal action delivered invisibly, through tax expenditures and contracted intermediaries, fails to generate these civic returns, because citizens cannot see that anything was done.

The design lesson: **make public action visible, attributable, and participatory**. A program citizens experience as a public accomplishment builds civic capacity. The same program delivered through an opaque tax credit builds cynicism.

6.3 The rights floor within community

Communities can dominate. Non-domination requires that membership be genuinely voluntary and that exit be real.

- **Exit rights.** No civic institution may be assigned a function such that non-participation costs a person access to a basic entitlement. This is the precondition for religious and associational provision being compatible with liberty, and it distinguishes a pluralist civil society from a network of local monopolies over necessity.
- **Establishment limits.** Religious organizations are essential providers within civil society and should be welcomed as such. They cannot be the sole route to a public benefit, and public funds carry non-discrimination conditions in service provision. This is a constitutional requirement, not a concession.
- **No community-level authority over conscience, association, or bodily autonomy.** These are federal-floor questions under non-derogation clause (a).

6.4 Agenda

- **Chapter-based national service**, structured as federated local units with national identity, on the associational model rather than as individual volunteer placement.
- **Tax and regulatory treatment favoring dues-funded membership organizations** over donor-funded advocacy organizations, reversing the incentive structure Skocpol identifies.
- **Civic infrastructure as physical infrastructure:** libraries, meeting halls, parks, community colleges — the spaces without which association has nowhere to occur.

- **A federated default for new institutions:** any nationally supported civic initiative should be structured as chapters with real local governance rather than as a national organization with local field offices.

7. Pillar II — The Open Producer Economy

7.1 The correction: certification, not guilds

Version 1.0 proposed guilds as a model for skill formation. The economic history does not support this, and the framework is stronger for saying so.

Sheilagh Ogilvie's *The European Guilds: An Economic Analysis* (2019) is the current standard treatment, built on datasets comprising thousands of quantitative and qualitative observations across European craft guilds. Her findings run against the romantic reading at nearly every point: guilds erected entry barriers, manipulated markets through price-setting and supply control, obstructed innovation, and systematically excluded women, migrants, Jews, and other outsiders. Where quality regulation existed, it functioned largely to exclude non-guild producers rather than to protect consumers. Guilds persisted, on her account, not because they corrected market failures but because they benefited two groups: their own members and the political elites who chartered them.

Be fair to the other side: S. R. Epstein (1998) argued that guilds solved genuine apprenticeship and human-capital problems that markets underprovide, and the debate continues. But Ogilvie's evidentiary base is the one a serious framework must answer, and the honest answer is that the burden now sits with the guild's defenders.

The contemporary instance is the live problem. Occupational licensing is the guild system's descendant. Roughly a quarter to nearly thirty percent of American workers now hold a government license, against about five percent in the 1950s. Licensing raises incumbent wages on the order of ten to fifteen percent, reduces cross-occupational mobility, and reduces interstate migration. Recent evidence finds increases in restrictions raise wages modestly while reducing employment more sharply, with restrictions concentrated in lower-wage occupations — meaning the costs fall on precisely the workers a producer-oriented framework should want to help.

Any framework proposing to strengthen skilled trades must therefore draw a hard line:

Certification — voluntary, portable across jurisdictions, offered by competing bodies, signals verified competence, does not bar entry. **Expand aggressively.**

Licensure — mandatory, jurisdiction-locked, controls who may work. **Narrow to demonstrated safety cases; make reciprocal across states; sunset and re-justify on a schedule.**

The distinction preserves everything valuable in the guild ideal — apprenticeship, mastery, standards, professional identity, mutual support — while removing the cartel mechanism that made historical guilds extractive. This is the version of Pillar II that survives scrutiny.

7.2 Rooted producers, global markets

The post-industrial claim has real content here. Distributed production, remote work, and digital platforms permit a person to earn from a global market while living in, and contributing to, a particular place. The industrial economy forced a choice between economic opportunity and rootedness by concentrating both capital and jobs; a post-industrial economy substantially relaxes that constraint.

The framework's task is to make this real rather than rhetorical:

- **Universal high-quality broadband** as the precondition for everything else in this pillar.
- **Portable benefits** attached to persons rather than employers — health coverage, retirement, disability — so independent and small-scale producers are not structurally disadvantaged relative to employees of large firms.
- **Radical simplification of small-enterprise formation, taxation, and compliance.** Compliance cost is a fixed cost, which makes it a regressive tax on smallness. This is the most under-discussed barrier to a distributed economy.
- **Antitrust and interoperability requirements for platform intermediaries**, so a distributed producer economy does not simply become a tenant economy on rails owned by four firms. Non-domination applies to private power.

7.3 The housing exception, stated openly

This framework must bite a bullet most localisms avoid, and it is better to do it in the text than to be caught at it.

Local control of land use is the most consequential form of localism in America and the one with the clearest costs. William Fischel's homevoter hypothesis explains the mechanism: local politics is dominated by homeowners whose principal asset is their house, giving a structural, rational, entirely predictable incentive to restrict supply. The consequences are large. Glaeser and Gyourko (2018) estimate meaningful annual GDP losses from excessive land-use restriction. Hsieh and Moretti (2019) estimate substantially larger effects, though their headline figure has been challenged and partially corrected following replication work — the more conservative range is the safer basis for policy argument. The direction is not in dispute even where the magnitude is: incumbent homeowners in productive places have a private incentive to restrict supply, and the costs land on people who cannot vote in those places.

On this framework's own principles, local veto over housing quantity fails Test 1 and violates non-derogation clause (b). A jurisdiction that refuses to permit housing exports costs to workers, employers, and taxpayers across a region and a country who have no representation in its decision. This is externalization, and the framework prohibits it.

Therefore:

- **Housing supply floors set at the state level**, with enforcement and appeal mechanisms.
- **Local discretion over form survives**: design, materials, street character, phasing, historic preservation on defensible grounds.
- **Local discretion over quantity does not.**
- **Permitting operates on shot clocks**: defined review periods after which approval is automatic.
- **Standing to object limited** to parties with a demonstrable, particularized interest.

This is not an exception to Post-Industrial Localism. It is the framework working correctly: dispersing the authority to build, concentrating the authority to block.

8. Pillar III — Strategic State Capacity

8.1 The correction: capacity is built by exercise, not conserved by disuse

Version 1.0 treated federal capacity as a reservoir depleted by routine administration and preserved by devolving work away. This metaphor is wrong and the framework abandons it.

Michael Mann's distinction is the right one. **Despotic power** is power exercised over society without negotiation. **Infrastructural power** is the capacity to penetrate society and actually implement decisions — to collect a tax, deliver a benefit, build a bridge, track an epidemic, staff a response. Infrastructural power is what this pillar is about, and it accumulates through use: trained personnel, retained expertise, working data systems, institutional memory, established relationships with implementing partners.

An agency that performs routine work competently has capability available in a crisis. An agency hollowed out during quiet years cannot surge during loud ones, because surging requires people who know how, systems that work, and partners who answer the phone. Capacity built under emergency conditions is the most expensive capacity there is, and the most likely to fail.

Post-Industrial Localism therefore wants a federal government that does less *deciding* and more *doing well*. These are different axes, and conflating them was Version 1.0's error.

8.2 What federal strategic capacity requires

- **In-house technical capability.** Government that cannot evaluate a contractor's work is governed by its contractors. The long substitution of contracted labor for civil service — now running at roughly two contractors per federal employee, at a documented cost premium — has degraded the state's ability to specify, supervise, and accept the work it pays for.
- **Competitive compensation and genuine career paths** for engineers, scientists, procurement officers, and program managers. A state that cannot hire cannot act, and no amount of structural reform substitutes for people.
- **Procurement reform** toward outcome specification and away from process compliance.
- **Standing surge capability** for disaster, public health, and infrastructure — including pre-negotiated compacts with

states, localities, and private providers, so mobilization is a matter of activation rather than improvisation.

- **Procedural reform as capacity policy.** Environmental and administrative review should produce analysis on a schedule, not open-ended litigation exposure. Shot clocks, standing limits, and consolidated review are capacity measures.

8.3 The tempo principle

The reframed version of Version 1.0's intuition, which was sound even though its mechanism was not:

The federal government should hold few decisions and execute them fast; localities should hold many decisions and execute them close.

The pathology is not that the federal government does too much work. It is that it holds too many *decisions* — approvals, conditions, waivers, reviews — over work that others should be doing, while simultaneously lacking the capability to do its own work well. Reduce the federal decision surface. Increase federal execution capability. These move in opposite directions and Version 1.0 confused them.

8.4 A note on the current moment

This pillar is being articulated during a period of substantial reduction in federal civilian employment, with headcount at roughly its lowest level since the mid-1960s and continued substitution toward contractors. Reasonable people disagree sharply about the merits, and this framework takes no position on the specific measures.

What the framework does assert is a conditional following from its own logic: **capability reductions that fall on execution rather than on the decision surface make the diagnosed problem worse, not better.** Cutting the people who build while leaving intact the procedures that block produces a state that can neither act nor get out of the way. Any application of Post-Industrial Localism should be evaluated against that test, in either political direction.

9. Pillar IV — Fiscal and Monetary Architecture

9.1 National financing, local delivery

The most important structural claim in this paper is the one Version 1.0 got backwards.

Test 4 establishes that localities cannot sustainably finance redistribution, because exit disciplines them. But Test 3 establishes that localities are far better at delivering services depending on local knowledge. These are not in conflict once financing and delivery are separated:

Financing: national, progressive, equalizing. A citizen's basic floor does not depend on the wealth of their county.
Delivery: local, discretionary, experimental, accountable to residents.

This is not a compromise with localism. It is what makes localism sustainable — and it is empirically vindicated rather than hypothetical. Section 11 presents the evidence.

Design requirements:

- **Formula-based equalization**, resistant to annual political manipulation.
- **Hard budget constraints** at subnational level. Jonathan Rodden's *Hamilton's Paradox* (2006) documents what happens without them: units expecting bailouts overspend and export fiscal risk upward. Equalization must be formulaic and *ex ante*, never discretionary and *ex post*.
- **Portable individual entitlements.** Where feasible, the floor attaches to the person rather than the jurisdiction, so moving does not mean losing.
- **Federal automatic stabilizers**, so localities are not forced into procyclical austerity in downturns — the mechanism that turns a national recession into a local institutional collapse.

9.2 Money: pluralism at the payments layer, rules at the policy layer

Version 1.0 proposed a Bitcoin monetary standard. This paper withdraws that proposal. The reasons are worth stating in full, because the underlying concerns were legitimate even though the instrument was not.

Why it was withdrawn.

It contradicted Pillar III. A framework promising a federal government with reserve capacity for economic stabilization cannot simultaneously adopt a fixed-supply money the state cannot expand in a crisis. The historical evidence here is about as settled as macroeconomics gets: Eichengreen's *Golden Fetters* (1992) and Bernanke and James (1991) establish that during the Great Depression, countries that abandoned the gold standard earliest recovered earliest, and those that held it longest suffered longest. Hard money converts a demand shock into a debt-deflation spiral at exactly the moment Pillar III promises decisive response.

The empirical record arrived. El Salvador adopted Bitcoin as legal tender in September 2021. The IMF's assessment found that despite substantial public subsidy of transaction costs, acceptance and use by firms and individuals remained minimal, with no evidence of beneficial use for the unbanked, and identified the binding constraints as extreme price volatility and the absence of any authority able to intervene against illiquidity, abuse, or fraud. Business surveys found the overwhelming majority of firms had never completed a single Bitcoin sale. In January 2025 legal tender status was revoked as a condition of a \$1.4 billion IMF facility; taxes are payable in dollars and acceptance is voluntary. The sovereign experiment ran, and it did not work as proposed.

"Politically neutral money" is a category error. Every monetary rule distributes. A fixed-supply rule is not neutral between creditors and debtors — it systematically favors creditors and incumbent holders. That is a political choice, and it runs against the constituency Pillar II exists to serve: young families, apprentices, and small entrepreneurs are net debtors, and deflation raises the real burden of their obligations. Fixed supply combined with concentrated holdings also drives wealth concentration, corroding the rough civic equality Pillar I depends on.

The Hayek citation did not support the proposal. Hayek's argument in *Denationalisation of Money* (1976) is for **competition among issuers** — a discovery process in which currencies compete and the best-managed wins. Designating a single fixed-supply asset as the standard by policy is a monetary monopoly of a different kind, not an application of his argument.

In fairness to the position: George Selgin's work on productivity-norm deflation establishes that not all deflation is harmful, and Saifedean Ammous's *The Bitcoin Standard* (2018) makes the coherent version of the hard-money case. The framework's judgment is that these do not overcome the contradiction with Pillar III, but the arguments deserve engagement rather than dismissal.

What replaces it. The legitimate concerns underneath the original proposal — that discretionary monetary policy is politically capturable, that citizens should be able to transact without permission, that payment infrastructure should not become a surveillance and exclusion apparatus — are real, and this framework addresses them directly.

(a) Monetary and payments pluralism. - A right to transact, including in cash and in self-custodied digital assets. - Protection against arbitrary debanking, with due process and appeal. - Open, interoperable, low-cost public payment rails, so payments are not a private chokepoint. - Legal clarity for self-custody and for competing private payment instruments. - Any central bank digital currency designed for privacy by architecture, not by policy promise; no programmable restriction on lawful spending.

(b) Rules-based stabilization. - A transparent nominal anchor with a published rule, so policy is predictable and politically insulated by *rule* rather than by *rigidity*. - Explicit, pre-specified escape clauses for genuine emergencies, with automatic disclosure and time limits. - Fiscal rules with counterparts: structural balance over the cycle, automatic stabilizers operating without new legislation.

This delivers what the original plank actually wanted — money insulated from political manipulation — without disarming the state Pillar III spent its length arguing for. Rules constrain discretion. Fixed supply eliminates capability. The framework wants the first.

10. Core Doctrines

I. Subsidiarity with Teeth. Functions sit at the lowest level passing the spillover, scale, information, and fiscal-capacity tests. Burden of proof runs against centralization, but is rebuttable by evidence. Non-derogation clauses override all assignments.

II. Non-Domination. Freedom is the absence of subjection to arbitrary power, whatever its source. The framework resists domination by distant bureaucracy, by concentrated market power, and by local majority alike. This doctrine has priority; where localism would produce domination, localism yields.

III. Federated Civic Life. Civic capacity is built through nested, cross-class, member-governed associations linking local chapters to national structures — not through proximity as such, and not through professionally staffed advocacy. Public action, made visible and participatory, builds this capacity rather than displacing it.

IV. Open Entry and Portable Skill. Mastery is honored; monopoly is not. Certification expands, licensure narrows and becomes reciprocal, credentials travel with the person.

V. Capability Over Procedure. The authority to act is dispersed. The authority to block is concentrated, rationed, and time-bound. Every veto carries standing limits, a shot clock, an appeal, and a sunset.

VI. National Floors, Local Delivery. Rights and financing are national and equalizing. Delivery is local, discretionary, and accountable. A citizen's floor does not depend on the wealth of their jurisdiction.

11. Comparative Evidence

The framework's central structural claim — high delivery decentralization paired with centralized, equalizing finance and firm national floors — is not a thought experiment. It has been implemented, in several forms, with observable results. This section presents the supporting cases and, equally important, the cases that show what happens when the pairing is broken.

11.1 Denmark: the strong version of the claim

Denmark is the most decentralized unitary country in the OECD as measured by spending. Subnational government accounts for roughly 61 percent of public expenditure and about 33 percent of GDP, against OECD averages near 37 percent and 17 percent. Municipalities deliver social protection, health, education, and elder care; per-capita subnational expenditure is the highest in Europe by a wide margin.

The structural detail that matters most: **Danish municipalities have high expenditure autonomy and much more limited revenue autonomy.** They set municipal income tax rates within bounds, but the system operates inside a national framework of collection, equalization, and annual negotiated fiscal agreements between the central government and the municipal and regional associations. Regions, which run the hospitals, have no taxing power at all and are financed by state and municipal contributions.

This is the framework's Test 4 implemented at national scale. Denmark also reports comparatively strong institutional trust and, over the relevant period, low public debt and positive fiscal balances — evidence against the assumption that decentralized delivery implies fiscal indiscipline.

The honest caveat: Denmark is small, homogeneous by American standards, and high-trust to begin with. It demonstrates that the architecture is *coherent and workable*, not that it transplants automatically.

11.2 Switzerland: subsidiarity as constitutional practice

Switzerland is the case where this framework's principles are closest to being written into constitutional text. Cantonal sovereignty is the default (Art. 3): the Confederation holds only what the Constitution assigns it, and each new federal competence requires a constitutional amendment approved by a majority of voters *and* a majority of cantons.

The 2008 **NFA** reform is the more instructive part. Approved by referendum with roughly 64 percent of voters and a large majority of cantons, it did three things simultaneously:

1. **Disentangled tasks** between Confederation and cantons, clarifying who is responsible for what — reducing joint-responsibility fog, which is the Swiss version of the vetocracy problem.
2. **Introduced formula-based fiscal equalization**, both vertical and horizontal, explicitly designed to equalize partially rather than fully so that tax competition survives within bounds.
3. **Reaffirmed subsidiarity and fiscal equivalence** — the principle that whoever decides, pays.

Switzerland is therefore direct evidence for three of this framework's specific design requirements: formulaic rather than discretionary equalization, explicit task assignment rather than shared muddle, and the externalization ban stated as fiscal equivalence.

11.3 Germany and Canada: equalization in federal systems

Germany's *Finanzausgleich* and Canada's equalization transfers demonstrate that the financing/delivery split is achievable in large, diverse federations, not only in small unitary states. Both are formula-driven and constitutionally or statutorily anchored rather than annually negotiated, which is the property Section 9.1 requires. Both are politically contested — Canadian equalization is a perennial source of interprovincial friction — which is worth stating: the architecture reduces certain problems and creates others.

11.4 Kerala: devolution with participation, at scale

In 1996 the state government of Kerala launched the People's Campaign for Decentralized Planning, devolving discretionary authority over roughly 35–40 percent of the state's development budget to all of its local governments — municipalities and the three rural panchayat tiers — while mandating participatory planning structures. The campaign convened tens of thousands of village assemblies. Heller, Harilal, and Chaudhuri's evaluation in *World Development* (2007) found substantial improvements in locally targeted services, particularly housing for the poor, rural infrastructure, and anti-poverty measures — the categories citizens had rated lowest beforehand.

Two features make Kerala directly relevant here. First, it is a case of **state-financed, locally delivered, participatory governance** — exactly the architecture this framework proposes. Second, assessments are honestly mixed: neither a resounding success nor a failure, with persistent difficulties in technical capacity and in reaching the most marginalized groups. That mixture is what a serious framework should expect and should say.

11.5 Brazil: participatory budgeting and measurable outcomes

Participatory budgeting originated in Porto Alegre in 1989 and spread widely across Brazilian municipalities, providing an unusual natural experiment. Sônia Gonçalves (*World Development*, 2014) found that adopting municipalities allocated a larger share of spending to sanitation and health services and that this was accompanied by reductions in infant mortality, holding per-capita budgets constant. Related work by Touchton and Wampler and by Boulding and Wampler finds convergent results on service allocation and health outcomes.

This is among the strongest available evidence for a specific claim in Pillar I: **that participatory local structures change what governments buy, in directions that track citizens' actual needs**. It is not evidence that participation improves everything, and the literature notes real risks — that participatory budgeting can legitimate decisions already made, or be adopted for political display rather than genuine devolution. Those are failure modes, and Section 14 treats them.

11.6 The American counter-case: TANF, or devolution without floors

The single most instructive American case is the one that breaks the pairing.

The 1996 welfare reform replaced Aid to Families with Dependent Children — an open-ended federal match — with the Temporary Assistance for Needy Families block grant: a fixed sum, broad state discretion, and four purposes written so expansively that funds could be directed almost anywhere. The theory was that states freed from federal prescription would redirect savings into work supports.

The spending composition tells a different story. At TANF's onset, roughly 70 percent of combined federal and state funds went to basic cash assistance. By 2023 that share was about one quarter, and in 2024 twenty states spent 10 percent or less of TANF funds on basic assistance. The block grant has been fixed in nominal terms since 1996 and has lost roughly half its inflation-adjusted value.

Be clear about what is and is not contested here. The spending-composition figures come from states' own reports to HHS and are not seriously disputed. What is contested is the overall verdict on welfare reform: defenders point to sharp caseload declines and rising employment among single mothers in the late 1990s, and argue that cash-assistance share is the wrong success measure. Critics respond that the employment gains coincided with an exceptional labor market and that the deep-poverty safety net weakened. That disagreement is real and this framework does not resolve it.

What TANF does establish, on any reading, is narrower and directly relevant: **devolved flexibility without a maintained floor produces drift away from the devolved purpose, and the drift is large**. That is Proposition P7 in Section 13, observed. It is why non-derogation clause (a) and formula-based equalization are not optional decorations on this framework but load-bearing components — and why "block grant it and let states decide" is not what Post-Industrial Localism proposes.

11.7 Summary of the comparative record

Case	Delivery	Financing	Floors	Result
Denmark	Highly local	National, equalizing	Strong	High service quality, high trust, fiscal discipline
Switzerland	Highly cantonal/local	Formulaic equalization	Constitutional	Durable diversity, clear accountability
Germany, Canada	Substantially subnational	Formula-driven	Strong	Workable at federal scale; politically contested
Kerala	Highly local + participatory	State-financed	Moderate	Real service gains; capacity limits
Brazil (PB)	Local + participatory	Municipal	Weak	Measurable shifts in spending and health outcomes
US: TANF	State discretion	Fixed block grant, eroding	Weak	Drift away from purpose
US: land use	Hyper-local	Local	None	Supply restriction, spatial misallocation

The pattern across the rows is the framework’s central claim: **decentralized delivery works where financing is centralized and floors are firm, and drifts where they are not.**

12. The American Lineage

This framework is offered as an American political tradition rather than an import. It is worth tracing the argument it belongs to, including the places that tradition failed.

12.1 The founding argument about scale

The Anti-Federalists made the case for small republics directly. Brutus argued in 1787 that a republic covering so vast a territory could not remain free — that representatives would be too distant, too few, and too unlike their constituents to be genuinely accountable. Madison answered in *Federalist* 10 with the opposite claim: that an extended republic is *safer* than a small one, because a larger sphere multiplies interests and makes durable majority faction harder to assemble.

Post-Industrial Localism holds that both were right about different things, and that this is the origin of the act/block distinction. Brutus was right that distant power is hard to contest — which is why *execution* should be close. Madison was right that small republics are prone to factional tyranny — which is why *rights floors* must be national. The two arguments are only in conflict if one insists on a single answer for all powers.

Jefferson supplied the constructive version. In his 1816 letters to Joseph Cabell and Samuel Kercheval he proposed dividing counties into **wards** — “elementary republics” small enough for every citizen to participate directly, but nested within county, state, and federal structures. This is the earliest American statement of the nesting principle this framework builds on, and it is a better ancestor for Pillar I than generic invocations of local control.

12.2 The associational century

From roughly the 1830s to the 1960s, American civic life ran through the federated associations described in Section 6.1. Tocqueville observed the beginning of this period; Skocpol documented its arc and its end.

The Populist movement of the 1880s and 1890s is the most striking instance. Lawrence Goodwyn’s account shows that the Farmers’ Alliance built a genuinely mass democratic movement through a nested structure of local suballiances, county and state organizations, a national body, and a cooperative economic program with lecturers who traveled between chapters. It was federated, cross-class within its constituency, dues-funded, and member-governed — and it moved national politics. It is the American proof case for Pillar I.

12.3 The centralizing century and what it got right

The Progressive Era and the New Deal built the American administrative state, and this framework does not treat that as a mistake. Social Security, rural electrification, the TVA, the interstate system, and the G.I. Bill are exactly the kind of federal execution Pillar III wants preserved and rebuilt. Mettler’s finding that the G.I. Bill *increased* civic participation

among its beneficiaries is the strongest available evidence against the zero-sum view of state and society.

But this era also demonstrates non-derogation clause (a) by violating it. Federal housing policy — FHA underwriting standards, HOLC redlining maps, and the incorporation of racially restrictive covenants into federal practice — did not merely tolerate local exclusion; it standardized and financed it, as Richard Rothstein documents in *The Color of Law*. Jessica Trounstein's *Segregation by Design* traces the parallel municipal machinery: zoning, annexation, and differential service provision deployed by local governments to sort populations by race and class.

This is the American case for the rights floor, and it should be stated without softening. Federalism in the United States functioned for a century as the constitutional shelter of local domination, and William Riker's assessment — that this was federalism's principal practical effect — is the challenge any American localism must answer. Post-Industrial Localism answers it with a floor that no level may derogate from, and with the recognition that a framework offering local control without that floor is proposing something the country has already tried.

12.4 The devolution experiments

Four American attempts, each of which teaches something specific.

The Community Action Program (1964). The Economic Opportunity Act required “maximum feasible participation” of the poor in local anti-poverty programs. Daniel Patrick Moynihan's *Maximum Feasible Misunderstanding* (1969) argued that the phrase was inserted without clear meaning and produced conflict between new community organizations and existing city governments. *Lesson: participatory mandates without defined authority, resources, or relationship to existing institutions generate friction rather than capacity.* Kerala and Porto Alegre succeeded where CAP struggled partly because both specified what participants actually controlled.

General Revenue Sharing (1972-1986). The State and Local Fiscal Assistance Act distributed federal funds to states and localities by formula with minimal restriction on use. This is the closest American precedent to Section 9.1's architecture — national financing, local discretion over delivery — and it operated at scale for over a decade before being wound down. *Lesson: the mechanism is administratively feasible in the United States. Its termination was a fiscal and political decision, not a demonstration that it could not work.* Any serious version of this framework should study GRS closely, including the accountability criticisms that contributed to its end.

New Federalism block grants (1980s onward). Consolidation of categorical grants into block grants with reduced funding. *Lesson: devolution used as a vehicle for retrenchment discredits devolution.* When “local control” arrives with less money, communities reasonably conclude that localism is a name for abandonment — and the framework loses the constituency it most needs.

TANF (1996). Treated in Section 11.6. *Lesson: flexibility without floors drifts.*

12.5 The present opening

The abundance argument of the 2020s has reopened a question that had been closed for half a century: not *how much* government, but *whether government can act at all*. That reframing is the opening Post-Industrial Localism is written into. It has broken the size-axis framing that made American governance debate unproductive, and it has done so without yet supplying an account of civic life, formation, or what citizens owe each other.

That is the space this framework claims: **the abundance diagnosis, joined to the associational tradition, disciplined by non-domination.**

13. Testable Propositions

A framework that cannot be wrong is not a theory. If Post-Industrial Localism is correct, the following should hold. Each is stated so that its failure would count against the framework.

P1. Jurisdictions combining high delivery decentralization with high financing centralization will show better service outcomes *and* smaller inter-jurisdictional variance than jurisdictions decentralizing both. (*Falsified if decentralized-financing systems match on both.*)

P2. Introducing shot clocks and standing limits to permitting will increase construction volume without measurable increases in adverse environmental or safety outcomes. (*Falsified if adverse outcomes rise proportionally.*)

- P3.** Occupational licensing reciprocity compacts will increase interstate mobility in covered occupations without measurable declines in service quality or consumer complaint rates. *(Falsified if complaints rise.)*
- P4.** Federated, dues-funded, chapter-based civic organizations will generate more durable political participation per member than donor-funded advocacy organizations of comparable size. *(Falsified if participation is equivalent.)*
- P5.** Agencies performing substantial routine operational work will respond faster and more effectively to crises than agencies of comparable budget whose functions are primarily contracted out. *(Falsified if contracting-heavy agencies perform equally in surge conditions.)*
- P6.** State-level housing supply floors will increase permitting in constrained metros without producing the fiscal or service degradation predicted by local-control advocates. *(Falsified if service quality degrades in preempted jurisdictions.)*
- P7.** Devolution of authority *without* a maintained floor will produce measurable drift away from the devolved purpose within a decade. *(Status: observed in the TANF case, §11.6. The framework treats this as partially confirmed and predicts replication wherever the pairing is broken.)*
- P8.** Participatory allocation structures with genuine authority over a defined budget will shift spending composition toward the priorities of lower-income participants. *(Status: supported by the Brazilian participatory budgeting literature. Falsified if replication in higher-income contexts shows no compositional shift.)*

14. Failure Modes and Safeguards

Failure mode	Mechanism	Safeguard
Local capture	Devolution transfers power to whoever is locally dominant, not the median citizen (Bardhan)	Rights floor; transparency; appeal to state level; portable entitlements that make exit real
Exclusion	Local majorities restrict entry to preserve advantage (Fischel; Trounstein; Rothstein)	Externalization ban; state supply floors; limited standing; fair-housing enforcement
Race to the bottom	Jurisdictions compete by cutting provision (Peterson)	National financing; equalization; national floors
Purpose drift	Devolved funds migrate away from devolved purpose (TANF)	Maintained, inflation-indexed floors; spending-composition reporting; minimum-share requirements
Soft budget constraints	Localities overspend expecting bailouts (Rodden)	Formulaic <i>ex ante</i> equalization; no discretionary <i>ex post</i> rescue
Capacity gaps	Small jurisdictions lack technical capability (Kerala)	Shared service authorities; state technical assistance; production/governance separation
Participation theater	Participatory structures legitimate decisions already made	Defined budget authority; binding allocation; published outcomes against proposals
Fragmentation returns	Polycentricity degenerates into vetocracy	Act/block asymmetry; sunset review of every blocking power
Civic decay	Federation assumed rather than built	Direct investment in associational infrastructure; participation measured as a policy outcome
Devolution as retrenchment	"Local control" used as a cover for defunding (1980s block grants)	Floors indexed; funding levels stated in the same instrument as the devolution
Nostalgia capture	Framework recruited to defend incumbency under a localist banner	Doctrine II has priority; the housing exception is the standing test case

The last row deserves emphasis. The most likely failure of this framework is not that it is refuted. It is that it is **adopted rhetorically and applied selectively** — invoked to defend local veto power while its non-derogation clauses, its supply floors, and its open-entry commitments are quietly dropped. A localism that keeps the vetoes and discards the floors is the exact thing this framework exists to prevent.

Doctrine V and non-derogation clause (b) are not optional components. A version of Post-Industrial Localism without them is not a weaker version of this framework; it is its opposite.

15. Implementation and Sequencing

Sequencing is not a detail. The American record in Section 12.4 shows that the same devolution succeeds or fails depending on what is in place before it happens.

15.1 The sequencing rule

Floors before flexibility. Capability before devolution. Blocking reform before building reform.

Each clause encodes a documented failure.

Floors before flexibility. TANF devolved discretion before securing a maintained floor, and the floor eroded. Any transfer of authority downward should be enacted in the same instrument as the indexed floor beneath it — never in a subsequent bill that may never arrive.

Capability before devolution. Kerala's difficulties were concentrated in technical capacity at the receiving end. Devolving authority to jurisdictions that cannot exercise it produces failure attributed to localism rather than to sequencing. Technical assistance and shared-service arrangements come first.

Blocking reform before building reform. Money for construction that flows into an unreformed permitting environment produces cost inflation rather than output. Procedural reform is the precondition, not the complement.

15.2 Phase One (0-2 years): what requires no federal action

The framework is deliberately designed so that its most testable components can begin at state level immediately.

- **State permitting shot clocks and standing limits.** Single-state action, immediate effect, directly tests P2.
- **State housing supply floors** with local discretion over form preserved. Tests P6.
- **Interstate licensing reciprocity compacts.** Requires only participating states. Tests P3.
- **Participatory allocation pilots** with genuine binding authority over defined municipal budgets. Tests P8.
- **State civil-service compensation reform** for technical roles.
- **Anti-debanking due process** at state level where within authority.

This phase is the framework's proving ground. It produces evidence before it requires national consensus, which is the correct order for a framework claiming to be testable.

15.3 Phase Two (2-5 years): federal architecture

- **Portable benefits infrastructure** — health, retirement, disability attached to persons.
- **Formula-based equalization**, designed *ex ante* and legislated with hard subnational budget constraints alongside it.
- **Federal procedural reform:** consolidated environmental review with statutory deadlines and narrowed standing, structured to produce analysis rather than litigation exposure.
- **Federal in-house capability rebuild:** pay scales, technical hiring authorities, procurement reform, insourcing of core engineering and program management.
- **Payments infrastructure:** open interoperable rails, self-custody clarity, privacy-by-architecture standards for any digital currency.
- **Civic infrastructure investment** and the federated default for new national initiatives.

15.4 Phase Three (5+ years): the deep architecture

- **Statutory codification of the assignment protocol** — a standing requirement that new federal programs state which test justifies their level, reviewable and revisable.
- **Rules-based macroeconomic framework** with published nominal anchor and pre-specified escape clauses.
- **Systematic devolution of delivery** in domains where Phase One and Two evidence supports it, each transfer paired with its floor.
- **Sunset review of blocking powers** across the federal code.

15.5 The political economy problem, stated honestly

The framework's coalition is unstable by construction, and pretending otherwise would be dishonest.

The people most attracted to "local control" are frequently those who would lose most from the housing plank. The people most attracted to national floors are frequently suspicious of devolution. The framework asks each side to accept the part it likes least, and offers in exchange a coherent whole rather than a bundle of concessions.

There is no clever way around this. What the framework can offer is **evidence and sequencing**: Phase One is designed so that its most contested components — supply floors, permitting reform, licensing reciprocity — produce measurable results in single states within a few years. A framework that can point to a state where it worked is in a different position from one that can only argue.

16. Policy Platform

The planks, consolidated. Each traces to a pillar and a test.

Housing and land use 1. State-level housing supply floors; local discretion over form retained. 2. Permitting shot clocks with automatic approval on expiry. 3. Standing limited to demonstrable particularized interest. 4. Consolidated, deadline-bound environmental review.

Work and skill 5. Interstate licensing reciprocity compacts; universal recognition of out-of-state licenses in low-risk occupations. 6. Sunset-and-justify review for every occupational license. 7. Expansion of voluntary, portable, competitively offered certification. 8. Apprenticeship expansion decoupled from entry restriction. 9. Portable benefits: health, retirement, disability attached to the person. 10. Radical simplification of small-enterprise formation, tax, and compliance.

Civic life 11. Chapter-based national service on the federated model. 12. Tax treatment favoring dues-funded membership organizations. 13. Civic infrastructure investment: libraries, meeting halls, parks, community colleges. 14. Participatory allocation authority over defined shares of municipal budgets. 15. Federated structure as the default for new nationally supported civic initiatives.

State capability 16. Technical hiring authorities and competitive pay for engineers, scientists, and program managers. 17. Insourcing of core engineering, program management, and contract oversight. 18. Outcome-based procurement reform. 19. Standing surge capability with pre-negotiated intergovernmental compacts. 20. Sunset review of blocking powers across the federal code.

Fiscal and monetary 21. Formula-based, *ex ante* equalization; hard subnational budget constraints. 22. Indexed floors legislated in the same instrument as any devolution. 23. Federal automatic stabilizers insulating localities from procyclical austerity. 24. Rules-based nominal anchor with pre-specified escape clauses. 25. Right to transact; anti-debanking due process; open interoperable payment rails; self-custody clarity; privacy-by-architecture for any digital currency.

Connectivity 26. Universal high-quality broadband as precondition infrastructure.

17. Objections and Replies

"You've centralized so much this isn't localism anymore." The framework decentralizes what evidence shows localities do better — delivery, adaptation, form, experiment, and the great bulk of citizen-facing government — and centralizes only financing, rights floors, and deadlock-breaking. Denmark is the most decentralized unitary state in the OECD by spending and centralizes exactly these three things. The measure of localism is how much genuine authority sits close to citizens, not how loudly the theory refuses federal action.

"Non-domination is a liberal principle smuggled into a communitarian framework." It is a *republican* principle, older than liberalism and continuous with the Aristotelian and classical tradition the framework already claims. It is also the only available answer to the question every localism must face: what happens when the community is the oppressor. A framework without an answer to that question is not a communitarianism; it is an alibi.

"Your comparative cases are small, homogeneous, or foreign." Partly true, and Section 11.1 says so. This is why the American cases in Sections 11.6 and 12.4 carry weight in the argument: General Revenue Sharing shows the financing mechanism is administratively feasible at American scale, and TANF shows what the framework predicts when

the pairing is broken. The comparative cases establish coherence; the American cases establish the failure mode.

“The evidence base is contested.” Some of it is, and the paper flags where — Hsieh and Moretti’s magnitude, Epstein against Ogilvie on guilds, Selgin on productivity-norm deflation, the overall verdict on 1996 welfare reform. The framework is stated as testable propositions precisely so contested evidence can revise it. Section 13 exists so this objection can be pursued rather than merely asserted.

“This is just abundance liberalism with communitarian decoration.” The frameworks converge on procedural reform and diverge substantially elsewhere. Abundance is largely silent on associational life, on the formation of citizens, on skill and mastery as goods in themselves, and on the household as an institution rather than a consumption unit. Post-Industrial Localism treats participation as constitutive of a good life, not as an input to output. The overlap on vetocracy is real, and is a point in favor of both.

“You dropped Bitcoin because it’s unpopular in the academy.” It was dropped because it contradicted Pillar III, and because a sovereign implementation ran for four years and produced the outcomes documented in Section 9.2. The legitimate concerns underneath it — transaction freedom, protection from arbitrary financial exclusion, resistance to surveillance-capable payment infrastructure — are retained in full and given a more defensible institutional form. A framework that revises a plank when evidence arrives is functioning correctly.

“The coalition doesn’t exist.” Section 15.5 concedes this directly. The framework’s answer is sequencing and evidence rather than rhetoric: begin with state-level reforms that can be tested within a few years, and argue from results.

“Households and families get less attention than in Version 1.0.” The attention has changed form rather than diminished. Version 1.0 asserted the family’s importance; this version asks what would make family life materially viable — housing supply, portable benefits, time, income floors, and the removal of barriers to work. Exhortation is not policy.

18. Conclusion

Post-Industrial Localism proposes that the choice between a vigorous local republic and a capable national state is false, and that it has been made false by a post-industrial economy in which a person can be economically global and civically local.

The framework’s central claim is a distinction rather than a preference: **disperse the authority to act; concentrate and ration the authority to block**. From that distinction follow an assignment protocol with real content, a civil society organized by federation rather than mere proximity, an economy of open entry and portable skill, a federal government whose capability is built through competent exercise, and a fiscal architecture that finances nationally what it delivers locally.

The comparative record in Section 11 suggests this is not speculative. Denmark, Switzerland, Germany, Canada, Kerala, and Brazil have each implemented parts of it, with results that are good, mixed, and instructive in roughly the proportions one should expect. The American record is equally instructive in the other direction: General Revenue Sharing showed the mechanism is feasible here, and TANF showed precisely what happens when devolution is separated from its floor.

The framework is offered as a research program rather than a creed. Section 13 states what would refute it. Section 14 states how it would most likely fail. Section 15.5 concedes that its natural coalition does not yet exist. Section 9.2 records a substantial plank the evidence required it to abandon.

That last point is the one worth ending on. A political framework earns the right to be taken seriously not by the elegance of its architecture but by its willingness to specify what would prove it wrong — and then to say so when something does.

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Version 2.1, Expanded Edition. Sections 8.1 and 9.2 record substantive revisions to Version 1.0 made in response to evidence. Verify all citations against original sources before publication.